PROPERTY CONDITION ASSESSMENT

Lantern Marketplace | Detroit, MI

Property	Lantern Marketplace
Address	1531 Airport Lane, Detroit, MI 64910
Site Visit Date	June 26, 2021
Client	Anchorage Meadow Partners
Immediate Repairs	$437,000

Improvements Description

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 42 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 30 stories. The roof is a 34-year membrane system with an estimated remaining useful life of 7 years.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 12 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $110,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $188,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 7 stories. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $22 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 23-year membrane system with an estimated remaining useful life of 6 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $319,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. Elevators were last modernized 6 years ago and are operating without deficiency.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $25,000.

Improvements Description

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Improvements Description

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 28 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Common area interiors have been refreshed within the last 12 years and are in average to good condition.

Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 23 stories. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The roof is a 21-year membrane system with an estimated remaining useful life of 8 years.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $375,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 4 years ago and are operating without deficiency.

Construction Details

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 21-year membrane system with an estimated remaining useful life of 4 years. Average rent is $22 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Common area interiors have been refreshed within the last 9 years and are in average to good condition. Average rent is $22 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $396,000. Elevators were last modernized 8 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 42 stories. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $22 per square foot with parking at a ratio of 3 spaces per 1,000 square feet.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $352,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	19	29	10	Good	$25,000	$262,000
Paving	32	33	1	Good	$26,000	$196,000
HVAC	9	16	7	Poor	$7,000	$266,000
Plumbing	8	13	5	Fair	$26,000	$277,000
Electrical	5	15	10	Poor	$4,000	$71,000
Elevators	40	40	0	Fair	$7,000	$206,000
Fire/Life Safety	15	34	19	Fair	$32,000	$262,000
Windows	17	23	6	Good	$6,000	$207,000
Siding/Facade	9	20	11	Poor	$33,000	$120,000
Flooring	2	12	10	Fair	$35,000	$48,000
Appliances	7	15	8	Poor	$3,000	$50,000
Landscaping	10	28	18	Poor	$20,000	$6,000
Pool/Amenity	7	29	22	Good	$17,000	$32,000
Signage	7	13	6	Poor	$28,000	$153,000
Fencing	3	34	31	Fair	$10,000	$27,000
Roof (2)	19	19	0	Poor	$30,000	$199,000
Paving (2)	7	13	6	Good	$29,000	$158,000
HVAC (2)	6	35	29	Fair	$5,000	$145,000
Plumbing (2)	8	40	32	Poor	$21,000	$36,000
Electrical (2)	1	33	32	Poor	$9,000	$189,000
Elevators (2)	2	14	12	Fair	$25,000	$198,000
Fire/Life Safety (2)	32	40	8	Good	$7,000	$69,000
Windows (2)	10	10	0	Fair	$15,000	$167,000
Siding/Facade (2)	23	30	7	Fair	$40,000	$204,000
Flooring (2)	6	37	31	Good	$2,000	$55,000
Appliances (2)	38	38	0	Fair	$31,000	$129,000
Landscaping (2)	25	26	1	Poor	$19,000	$251,000
Pool/Amenity (2)	14	34	20	Fair	$33,000	$36,000
Signage (2)	12	14	2	Fair	$8,000	$84,000
Fencing (2)	12	14	2	Poor	$14,000	$146,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Fire extinguishers	Bldg B	Expired tags	Service	Year 1	$89,500
Sidewalk	Bldg B	Trip hazards	Grind / replace	Immediate	$17,000
Stair treads	Roof	Worn / loose	Replace treads	Immediate	$38,500
Window sealant	Bldg B	Failed	Re-caulk	Year 1	$88,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Immediate	$51,500
Dumpster enclosure	Mechanical	Damaged gate	Repair	Year 2-5	$55,500
Handrail	Common	Loose	Secure	Reserve	$61,500
Asphalt paving	Roof	Alligator cracking	Mill and overlay	Immediate	$67,500
Sprinkler heads	Mechanical	Painted heads	Replace	Immediate	$4,500
Asphalt paving	Common	Alligator cracking	Mill and overlay	Year 2-5	$2,000
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Year 2-5	$81,000
Water heater	Bldg A	Corrosion	Replace	Year 1	$35,500
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$41,000
Roof membrane	Site	Ponding / seams	Re-seal and repair	Immediate	$4,500
Water heater	Roof	Corrosion	Replace	Year 1	$38,000
Window sealant	Bldg B	Failed	Re-caulk	Reserve	$52,000
Fire extinguishers	Bldg B	Expired tags	Service	Year 1	$61,500
Handrail	Common	Loose	Secure	Reserve	$55,500
Stair treads	Common	Worn / loose	Replace treads	Year 1	$65,500
Handrail	Bldg A	Loose	Secure	Immediate	$36,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Immediate	$10,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Immediate	$53,500
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Year 2-5	$38,500
Sidewalk	Common	Trip hazards	Grind / replace	Year 2-5	$82,500
Sprinkler heads	Roof	Painted heads	Replace	Reserve	$18,000
Fire extinguishers	Bldg B	Expired tags	Service	Year 2-5	$40,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Reserve	$24,000
Fire extinguishers	Bldg A	Expired tags	Service	Reserve	$18,000
Window sealant	Common	Failed	Re-caulk	Year 1	$83,500
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Immediate	$3,500
Fire extinguishers	Mechanical	Expired tags	Service	Year 1	$64,000
Handrail	Bldg A	Loose	Secure	Reserve	$49,500
Stair treads	Mechanical	Worn / loose	Replace treads	Year 1	$45,000
Handrail	Bldg B	Loose	Secure	Immediate	$60,500
Window sealant	Site	Failed	Re-caulk	Reserve	$39,500
Asphalt paving	Site	Alligator cracking	Mill and overlay	Immediate	$64,500
Handrail	Bldg B	Loose	Secure	Reserve	$86,000
Sidewalk	Roof	Trip hazards	Grind / replace	Year 2-5	$15,500
Handrail	Common	Loose	Secure	Reserve	$62,000
Stair treads	Bldg B	Worn / loose	Replace treads	Reserve	$32,500
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Reserve	$33,500
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 1	$68,000

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Deferred Maintenance

Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $419,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 40 months.

Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 6 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $277,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 12 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $175,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $184,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months.

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Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 17 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average rent is $22 per square foot with parking at a ratio of 47 spaces per 1,000 square feet.

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 3 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Observed Conditions

Elevators were last modernized 12 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $333,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months.

Construction Details

The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 6 years and are in average to good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 36 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 7 years and are in average to good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $438,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $412,000. Elevators were last modernized 8 years ago and are operating without deficiency.

Building Systems

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The roof is a 20-year membrane system with an estimated remaining useful life of 3 years. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 36 stories.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	27	40	13	Good	$21,000	$267,000
Paving	10	11	1	Poor	$34,000	$23,000
HVAC	17	37	20	Good	$22,000	$210,000
Plumbing	16	40	24	Good	$13,000	$44,000
Electrical	10	31	21	Fair	$35,000	$29,000
Elevators	3	10	7	Good	$19,000	$135,000
Fire/Life Safety	10	27	17	Poor	$16,000	$174,000
Windows	18	19	1	Poor	$39,000	$129,000
Siding/Facade	31	36	5	Good	$5,000	$163,000
Flooring	9	27	18	Good	$7,000	$31,000
Appliances	5	31	26	Poor	$11,000	$271,000
Landscaping	17	23	6	Fair	$18,000	$107,000
Pool/Amenity	14	20	6	Fair	$35,000	$151,000
Signage	7	40	33	Fair	$26,000	$29,000
Fencing	9	40	31	Poor	$20,000	$192,000
Roof (2)	1	39	38	Fair	$11,000	$158,000
Paving (2)	3	13	10	Fair	$12,000	$196,000
HVAC (2)	15	17	2	Fair	$17,000	$276,000
Plumbing (2)	13	37	24	Poor	$22,000	$100,000
Electrical (2)	9	10	1	Fair	$7,000	$25,000
Elevators (2)	2	12	10	Poor	$10,000	$50,000
Fire/Life Safety (2)	11	13	2	Good	$14,000	$106,000
Windows (2)	14	33	19	Fair	$7,000	$132,000
Siding/Facade (2)	10	11	1	Fair	$29,000	$100,000
Flooring (2)	18	31	13	Fair	$28,000	$195,000
Appliances (2)	37	37	0	Fair	$7,000	$156,000
Landscaping (2)	6	20	14	Poor	$39,000	$278,000
Pool/Amenity (2)	8	14	6	Poor	$14,000	$57,000
Signage (2)	1	27	26	Fair	$22,000	$159,000
Fencing (2)	1	30	29	Fair	$23,000	$94,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 2-5	$71,000
Window sealant	Site	Failed	Re-caulk	Year 2-5	$3,500
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Year 1	$51,000
Water heater	Mechanical	Corrosion	Replace	Immediate	$52,000
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Immediate	$7,000
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Reserve	$26,000
Window sealant	Mechanical	Failed	Re-caulk	Immediate	$4,500
Asphalt paving	Site	Alligator cracking	Mill and overlay	Year 2-5	$76,500
Window sealant	Bldg A	Failed	Re-caulk	Year 1	$28,500
Window sealant	Mechanical	Failed	Re-caulk	Reserve	$5,500
Sidewalk	Common	Trip hazards	Grind / replace	Immediate	$78,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 2-5	$83,000
Handrail	Bldg B	Loose	Secure	Year 2-5	$51,000
Sprinkler heads	Bldg A	Painted heads	Replace	Reserve	$82,500
Window sealant	Bldg A	Failed	Re-caulk	Immediate	$55,000
Water heater	Common	Corrosion	Replace	Year 2-5	$9,000
Stair treads	Mechanical	Worn / loose	Replace treads	Year 1	$79,000
Fire extinguishers	Mechanical	Expired tags	Service	Immediate	$75,500
Handrail	Bldg B	Loose	Secure	Reserve	$13,000
Sidewalk	Site	Trip hazards	Grind / replace	Immediate	$8,000
Asphalt paving	Site	Alligator cracking	Mill and overlay	Immediate	$12,500
Roof membrane	Common	Ponding / seams	Re-seal and repair	Year 1	$10,500
Handrail	Common	Loose	Secure	Reserve	$86,000
Asphalt paving	Mechanical	Alligator cracking	Mill and overlay	Immediate	$1,500
Water heater	Common	Corrosion	Replace	Year 1	$64,500
Sidewalk	Site	Trip hazards	Grind / replace	Immediate	$88,500
Window sealant	Roof	Failed	Re-caulk	Year 2-5	$31,000
HVAC unit	Site	Beyond useful life	Replace RTU	Immediate	$71,500
Stair treads	Site	Worn / loose	Replace treads	Reserve	$2,500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Year 2-5	$43,000
Handrail	Site	Loose	Secure	Immediate	$11,500
Roof membrane	Bldg A	Ponding / seams	Re-seal and repair	Year 1	$70,000
Dumpster enclosure	Bldg B	Damaged gate	Repair	Reserve	$30,500
Asphalt paving	Site	Alligator cracking	Mill and overlay	Year 1	$45,000
Window sealant	Mechanical	Failed	Re-caulk	Year 2-5	$59,500
Fire extinguishers	Roof	Expired tags	Service	Reserve	$59,000
Stair treads	Roof	Worn / loose	Replace treads	Immediate	$84,500
Water heater	Roof	Corrosion	Replace	Year 2-5	$34,000
Handrail	Bldg B	Loose	Secure	Year 1	$62,000
Stair treads	Bldg A	Worn / loose	Replace treads	Immediate	$53,500
Fire extinguishers	Site	Expired tags	Service	Year 2-5	$76,500
Handrail	Bldg A	Loose	Secure	Year 2-5	$38,500
Sidewalk	Site	Trip hazards	Grind / replace	Year 1	$60,000

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Observed Conditions

Elevators were last modernized 4 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $278,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 14 months. Elevators were last modernized 11 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $462,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $390,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $368,000.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. Elevators were last modernized 10 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $427,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Improvements Description

Average rent is $22 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The roof is a 20-year membrane system with an estimated remaining useful life of 4 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $22 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 43 stories.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $306,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $354,000. Elevators were last modernized 8 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Construction Details

Common area interiors have been refreshed within the last 6 years and are in average to good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 30 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Mechanical systems include rooftop package units and central plant equipment of varying age. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 11 stories. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $333,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency.

Improvements Description

The roof is a 12-year membrane system with an estimated remaining useful life of 8 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average rent is $22 per square foot with parking at a ratio of 24 spaces per 1,000 square feet. Common area interiors have been refreshed within the last 11 years and are in average to good condition.

Common area interiors have been refreshed within the last 5 years and are in average to good condition. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 46 stories. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	3	35	32	Good	$19,000	$263,000
Paving	10	37	27	Fair	$15,000	$235,000
HVAC	2	14	12	Good	$29,000	$183,000
Plumbing	1	36	35	Fair	$19,000	$261,000
Electrical	10	14	4	Fair	$19,000	$28,000
Elevators	39	40	1	Good	$40,000	$120,000
Fire/Life Safety	2	12	10	Good	$0	$18,000
Windows	7	26	19	Fair	$10,000	$177,000
Siding/Facade	8	27	19	Poor	$21,000	$193,000
Flooring	2	15	13	Fair	$7,000	$225,000
Appliances	15	33	18	Good	$5,000	$10,000
Landscaping	14	21	7	Fair	$10,000	$98,000
Pool/Amenity	12	27	15	Fair	$28,000	$152,000
Signage	3	10	7	Fair	$18,000	$169,000
Fencing	3	25	22	Fair	$19,000	$118,000
Roof (2)	10	39	29	Good	$24,000	$258,000
Paving (2)	15	22	7	Fair	$17,000	$71,000
HVAC (2)	7	17	10	Fair	$7,000	$92,000
Plumbing (2)	3	14	11	Fair	$1,000	$67,000
Electrical (2)	8	12	4	Good	$40,000	$157,000
Elevators (2)	18	19	1	Fair	$28,000	$12,000
Fire/Life Safety (2)	11	32	21	Fair	$6,000	$151,000
Windows (2)	9	11	2	Good	$6,000	$21,000
Siding/Facade (2)	8	31	23	Fair	$38,000	$227,000
Flooring (2)	24	29	5	Poor	$26,000	$103,000
Appliances (2)	8	12	4	Fair	$34,000	$248,000
Landscaping (2)	33	36	3	Fair	$39,000	$44,000
Pool/Amenity (2)	14	15	1	Good	$2,000	$6,000
Signage (2)	19	33	14	Fair	$24,000	$129,000
Fencing (2)	6	13	7	Fair	$19,000	$157,000

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Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Handrail	Site	Loose	Secure	Immediate	$19,000
Fire extinguishers	Mechanical	Expired tags	Service	Reserve	$78,000
Window sealant	Site	Failed	Re-caulk	Year 1	$85,500
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Immediate	$83,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Reserve	$66,000
Sidewalk	Roof	Trip hazards	Grind / replace	Reserve	$64,000
Dumpster enclosure	Bldg A	Damaged gate	Repair	Year 2-5	$14,000
Water heater	Site	Corrosion	Replace	Reserve	$38,000
Fire extinguishers	Mechanical	Expired tags	Service	Year 2-5	$85,000
Water heater	Common	Corrosion	Replace	Immediate	$80,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Year 1	$27,500
Sidewalk	Common	Trip hazards	Grind / replace	Year 2-5	$19,500
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$71,000
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Year 2-5	$73,500
Fire extinguishers	Bldg A	Expired tags	Service	Immediate	$48,000
Stair treads	Site	Worn / loose	Replace treads	Year 1	$28,500
Fire extinguishers	Bldg A	Expired tags	Service	Immediate	$22,000
Stair treads	Bldg A	Worn / loose	Replace treads	Immediate	$55,500
Handrail	Mechanical	Loose	Secure	Year 2-5	$500
Sidewalk	Mechanical	Trip hazards	Grind / replace	Immediate	$82,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$72,500
Sprinkler heads	Roof	Painted heads	Replace	Year 2-5	$87,500
Sprinkler heads	Bldg B	Painted heads	Replace	Reserve	$33,000
Water heater	Bldg B	Corrosion	Replace	Reserve	$87,500
HVAC unit	Site	Beyond useful life	Replace RTU	Reserve	$73,500
Handrail	Common	Loose	Secure	Reserve	$45,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Year 1	$4,500
Handrail	Roof	Loose	Secure	Year 2-5	$23,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Immediate	$3,500
Stair treads	Bldg A	Worn / loose	Replace treads	Year 1	$27,500
Stair treads	Bldg A	Worn / loose	Replace treads	Year 1	$24,500
Water heater	Mechanical	Corrosion	Replace	Immediate	$71,000
HVAC unit	Mechanical	Beyond useful life	Replace RTU	Year 2-5	$51,000
Asphalt paving	Bldg B	Alligator cracking	Mill and overlay	Immediate	$49,000
Asphalt paving	Site	Alligator cracking	Mill and overlay	Reserve	$89,000
Dumpster enclosure	Common	Damaged gate	Repair	Year 2-5	$29,000
Sprinkler heads	Site	Painted heads	Replace	Year 2-5	$62,500
Roof membrane	Roof	Ponding / seams	Re-seal and repair	Year 2-5	$71,500
Water heater	Bldg B	Corrosion	Replace	Year 1	$62,500
Handrail	Bldg B	Loose	Secure	Reserve	$89,500
HVAC unit	Bldg A	Beyond useful life	Replace RTU	Immediate	$83,000

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Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $211,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $248,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. Elevators were last modernized 12 years ago and are operating without deficiency.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $135,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 8 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $228,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Elevators were last modernized 9 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Improvements Description

Average rent is $22 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The roof is a 28-year membrane system with an estimated remaining useful life of 3 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $22 per square foot with parking at a ratio of 9 spaces per 1,000 square feet.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $374,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $248,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Elevators were last modernized 6 years ago and are operating without deficiency.

Construction Details

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Lantern Marketplace was originally constructed in 2019 and consists of 157,000 SF in a building of 24 stories. Average rent is $22 per square foot with parking at a ratio of 20 spaces per 1,000 square feet. Mechanical systems include rooftop package units and central plant equipment of varying age.

The roof is a 29-year membrane system with an estimated remaining useful life of 3 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $230,000. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $195,000. Elevators were last modernized 11 years ago and are operating without deficiency.

Construction Details

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Observed Conditions

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Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	5	24	19	Fair	$21,000	$243,000
Paving	22	24	2	Good	$18,000	$169,000
HVAC	29	35	6	Fair	$40,000	$32,000
Plumbing	6	10	4	Fair	$11,000	$168,000
Electrical	11	36	25	Fair	$21,000	$108,000
Elevators	18	32	14	Good	$10,000	$43,000
Fire/Life Safety	13	15	2	Poor	$11,000	$163,000
Windows	1	14	13	Fair	$7,000	$21,000
Siding/Facade	26	27	1	Fair	$35,000	$177,000
Flooring	2	18	16	Fair	$26,000	$179,000
Appliances	24	38	14	Poor	$11,000	$52,000
Landscaping	4	36	32	Fair	$26,000	$154,000
Pool/Amenity	8	35	27	Poor	$10,000	$105,000
Signage	13	13	0	Fair	$22,000	$196,000
Fencing	10	37	27	Poor	$37,000	$43,000
Roof (2)	8	26	18	Poor	$9,000	$135,000
Paving (2)	23	33	10	Good	$18,000	$196,000
HVAC (2)	13	22	9	Good	$25,000	$39,000
Plumbing (2)	6	24	18	Fair	$30,000	$261,000
Electrical (2)	9	21	12	Fair	$19,000	$2,000
Elevators (2)	29	32	3	Poor	$19,000	$265,000
Fire/Life Safety (2)	5	25	20	Poor	$26,000	$253,000
Windows (2)	6	29	23	Fair	$12,000	$20,000
Siding/Facade (2)	12	20	8	Fair	$3,000	$243,000
Flooring (2)	10	12	2	Good	$19,000	$16,000
Appliances (2)	20	29	9	Poor	$12,000	$21,000
Landscaping (2)	2	21	19	Fair	$12,000	$245,000
Pool/Amenity (2)	12	27	15	Poor	$3,000	$16,000
Signage (2)	16	18	2	Fair	$38,000	$125,000
Fencing (2)	31	39	8	Poor	$28,000	$34,000

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